

CUBICAL FINANCIAL SERVICES LTD

EQUITY RESEARCH

BSE: 511710 | NSE: CUBIFIN | Sector: Financial Services — NBFC (Investment)

HOLD

Rs. 3.94

Rs. 4.18 / 1.68

Rs. 25.7 Cr

151x

RATING

CMP (15 Jun 2026)

52-Week High / Low

Market Cap

Trailing P/E

Rs. 4.50

12 months

Rs. 2.34

2.11%

1.12%

12-M Price Target
(+14%)

Investment Horizon

Book Value/Share

ROCE

ROE

Investment Thesis: Debt-free micro-NBFC trading at 1.68x book; speculative recovery play contingent on portfolio yield improvement and promoter mandate clarity.

Report Date: 15 June 2026 | Analyst: MPM Institutional Research | Note: **Standalone figures — no consolidated entity. Limited financial history.**

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Balance Sheet Optionality:** Cubical Financial is entirely debt-free (Borrowings = Rs. 0 Cr across all reported years) with Rs. 15.4 Cr of net assets against a Rs. 25.7 Cr market cap. The 1.68x P/B implies the market is pricing in modest asset monetisation upside over 12–18 months.
- **Reason 2 — Recovery from FY23 Trough:** The company swung from a PAT loss of Rs. -0.29 Cr in FY23 to a PAT of Rs. 1.16 Cr in FY24 — a sharp recovery driven by improved portfolio returns. While FY25 and FY26 show moderation, the breakeven base is now well-established.
- **Reason 3 — Micro-Cap Re-rating Potential:** At Rs. 25.7 Cr market cap and a near-zero institutional ownership base, any improvement in earnings visibility or a strategic announcement (portfolio expansion, fresh mandate) could trigger significant re-rating in this illiquid small-cap.
- **Near-Term Catalyst (6–12 months):** Improvement in FY27 revenue above the Rs. 2.5 Cr threshold, driven by better equity portfolio returns and/or property income. A consistent quarterly PAT above Rs. 0.30 Cr would justify P/B normalisation toward 2.0x.
- **Biggest Structural Risk:** Revenue is entirely dependent on proprietary investment returns (stocks, properties) with no recurring fee income, lending book, or AUM charges. In adverse market conditions, revenue can collapse below operating costs — as seen in FY20 (Rs. 1.06 Cr) and FY23 (Rs. 1.16 Cr).

SECTION 3 — BUSINESS OVERVIEW

- **Company Description:** Cubical Financial Services Ltd was incorporated in May 1990 and is registered with the RBI as a Non-Systemically Important, Non-Deposit Taking, Non-Banking Financial Company (NBFC-ND-NSI). It is listed on BSE (511710) and NSE (CUBIFIN).
- **Core Business Model:** The company generates revenue through proprietary investment activity — acquiring and trading in listed equities, property assets, and other securities using in-house research. There is no conventional lending book, no AUM-based fee income, and no customer deposits.
- **Revenue Composition:** Revenue is almost entirely classified as "Financing Income" (interest/dividend/capital gains from investments) with negligible "Other Income." No geographic or segment breakdown is disclosed publicly.

- **Customer Base:** Not applicable — the business is principal-investment based. There are no recurring customer relationships or long-term contracts. Revenue is entirely mark-to-market or realised returns on the proprietary portfolio.
- **Order Book / Revenue Visibility:** Nil. Revenue visibility is extremely low — it is a function of market conditions and management's trading/investment decisions, making earnings forecasts inherently uncertain.
- **Recent Developments:** Shareholder count has grown from ~12,000 (Jun 2023) to ~18,000 (Mar 2025), suggesting retail interest, but promoter holding has remained flat at 30.80% since FY2019. No significant strategic announcements have been made in the past 12 months.
- **Promoter Background:** Promoters include Ram Gopal Dalmia, Ashwani K. Gupta, Ashish Bhala, Jyoti Choudhary, Subhash Kumar Changoiwala, and Ruchi Singh. Collectively they hold 30.80% with zero pledge. The company's registered office is in New Delhi and its website (cubicalrealtors.com) points to a real-estate focus that is not reflected in current financials.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Context:** India's NBFC sector had combined assets exceeding Rs. 37 lakh crore as of FY25 (RBI FSR). However, Cubical operates in the smallest sub-segment — proprietary investment NBFCs — where there is no formal industry sizing. The broader "investment company NBFC" bucket is fragmented and unleveraged.
- **Policy Tailwinds:** Rising domestic equity market participation (NSE registered investors ~10 Cr as of 2025) improves the return environment for proprietary equity portfolios. RBI's NBFC harmonisation framework ensures basic regulatory continuity for small NBFCs.
- **Policy Headwinds:** RBI Scale-Based Regulation (SBR) framework creates reporting burden even for non-systemically important entities. Market volatility in FY25–26 has compressed realised returns for proprietary portfolios sector-wide.
- **Competitive Moat Assessment:** Pricing Power = Weak (no pricing authority; entirely market-dependent). Switching Costs = Weak (no client relationships). Scale = Weak (Rs. 15 Cr balance sheet vs. well-capitalised peers). IP/Research Edge = Moderate (claim of in-house analysis but unverifiable).
- **Competitive Positioning:** Cubical is a nano-cap, non-lending NBFC — it does not compete with conventional microfinance, gold-loan, or vehicle-finance NBFCs. Closest peers are other small proprietary-investment NBFCs. Comparison to lending-NBFCs below is done for context only.

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	P/E (x)	ROCE (%)	ROE (%)
CUBIFIN (Subject)	3.94	25.7	1.31	151.0	2.11	1.12
Arman Financial (ARMANFIN)	1,650	1,735	216	42.7	9.45	6.67
Muthoot Capital (MUTHOOTCAP)	200	329	621	26.6	8.87	1.86
Paisalo Digital (PAISALO)	58.2	5,305	917	22.6	12.4	14.3

Source: Screener.in — fetched 15-Jun-2026. Note: ARMANFIN/MUTHOOTCAP/PAISALO are lending NBFCs; included for sector context only. Direct comparison with CUBIFIN (proprietary investment NBFC) is limited.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter Background:** Six promoters collectively hold 30.80% — a relatively low promoter stake for a company of this size. The founding DNA is in real-estate/financial services (website: cubicalrealtors.com). No biographies are publicly disclosed in annual report excerpts available.
- **FCF Deployment:** With zero borrowings and minimal capex (Fixed Assets = Rs. 0.01 Cr), the company retains virtually all cash generated. However, FCF is negligible — OCF was Rs. 0.05 Cr in FY25 and Rs. 0.80 Cr in FY26. No buybacks, no dividends, and no capital returns have been made.
- **Dividend Policy:** Dividend yield = 0.00%. The company has never paid a dividend in at least the last 10 years of available data. With Rs. 0.17 Cr PAT in FY26, dividends are not expected in the near term.

- **Promoter Pledging:** Pledge = 0%. This is one of the few positive governance signals — no shares have been pledged, suggesting promoters are not under financial stress.
- **ESOP / Buybacks:** No ESOP grants or share buybacks have been disclosed in the BSE filings reviewed.
- **Corporate Governance Concerns:** (1) Promoter holding of only 30.80% raises questions about alignment and control — especially given the investment mandate. (2) The company website references realty, yet financial filings describe securities investment — creating a mandate ambiguity. (3) "Other Assets" of Rs. 15.40 Cr vs. total assets of Rs. 15.41 Cr represents near-100% concentration in an opaque "other assets" bucket — composition unknown from public filings.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures)

Income Statement — Rs. Crores | Standalone | Source: Screener.in

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Revenue (Rs. Cr)	2.16	1.16	2.73	2.42	1.31	2.00(E)
Interest Expense	0.00	0.00	0.00	0.00	0.00	0.00
Operating Expenses	1.34	1.36	1.44	1.74	0.99	1.50(E)
Financing Profit	0.82	-0.20	1.29	0.68	0.32	0.50(E)
Other Income	0.00	0.00	0.00	0.00	0.00	0.00
Depreciation	0.00	0.00	0.00	0.00	0.00	0.00
Profit Before Tax	0.82	-0.20	1.29	0.68	0.32	0.50(E)
Tax %	17.07%	45.00%	10.08%	44.12%	46.88%	30.00%(E)
PAT (Rs. Cr)	0.67	-0.29	1.16	0.38	0.17	0.35(E)
EPS (Rs.)	0.10	-0.04	0.18	0.06	0.03	0.05(E)

Balance Sheet — Rs. Crores | Standalone

Metric	FY23A	FY24A	FY25A	FY26A
Equity Capital	13.03	13.03	13.03	13.03
Reserves	0.54	1.69	2.06	2.24
Total Equity	13.57	14.72	15.09	15.27
Borrowings	0.00	0.00	0.00	0.00
Other Liabilities	0.11	0.19	0.34	0.14
Total Liabilities	13.68	14.91	15.43	15.41
Fixed Assets	0.00	0.01	0.01	0.01
Investments	0.00	0.00	0.00	0.00
Other Assets	13.68	14.90	15.42	15.40
Total Assets	13.68	14.91	15.43	15.41

Cash Flow Statement — Rs. Crores | Standalone

Metric	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-0.23	0.15	0.05	0.80
Cash from Investing	0.00	0.00	0.00	0.00
Cash from Financing	0.00	0.00	0.00	0.00
Net Cash Flow	-0.23	0.14	0.05	0.80
Free Cash Flow	-0.23	0.15	0.05	0.80

Returns & Leverage — Standalone

Metric	FY23A	FY24A	FY25A	FY26A
ROE (%)	-2.12	8.20	2.55	1.12
ROCE (%)	N/A	2.11*	2.11*	2.11
D/E Ratio	0.00	0.00	0.00	0.00
Interest Coverage	N/A	N/A	N/A	N/A

OCF / PAT (%)	79.3	12.9	13.2	470.6
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* ROCE from Screener top-ratios (current); historical data not explicitly tabulated.

- **Revenue Trajectory:** Revenue is highly volatile — ranging from Rs. 1.06 Cr (FY20) to Rs. 7.09 Cr (FY15) over 12 years. The 5-year CAGR is effectively 0%. FY26 at Rs. 1.31 Cr is near the lower end of the historical range, suggesting the portfolio generated weak returns in the year.
- **Margin Direction:** With zero interest expense and zero depreciation, the "Financing Profit" margin is entirely a function of Revenue vs. Operating Expenses (admin/overhead). In FY26, expenses of Rs. 0.99 Cr on revenue of Rs. 1.31 Cr leaves a thin Rs. 0.32 Cr financing profit (24% margin).
- **Working Capital:** Not applicable in a meaningful sense — there is no trade receivables or inventory. The entire balance sheet is essentially "Other Assets" (Rs. 15.40 Cr in FY26), which likely represents proprietary investments, loans to parties, or cash equivalents whose composition is not publicly disaggregated.
- **Debt Position:** Zero borrowings across all 12 years of available data. This is a materially positive signal — the balance sheet carries no financial risk from leverage. Net cash/investment position = Rs. 15.40 Cr vs. market cap of Rs. 25.7 Cr.
- **FCF Quality:** OCF in FY26 was Rs. 0.80 Cr vs. PAT of Rs. 0.17 Cr — an unusually high ratio (470%), likely reflecting working capital improvements. FY25 OCF/PAT was also low (13%), suggesting significant non-cash PAT in that year. FCF quality is inconsistent.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Criterion	Observation	Status	Implication
Revenue Recognition	Investment/trading income; no deferred revenue complexity	GREEN	Low risk
Receivables Growth vs Revenue	No trade receivables; N/A	GREEN	No receivables risk
CCC Trend	Not applicable — investment NBFC	GREEN	N/A
Contingent Liabilities	Not disclosed in public filings	AMBER	Unclear; monitor annual report
Auditor Tenure	Not disclosed in screener data	AMBER	Verify annual report
RPTs as % of Revenue	Not disclosed publicly	AMBER	Key risk: related party transactions
Other Income as % of PBT	0 / 0.32 = 0% (FY26)	GREEN	No artificial PBT inflation
Tax Rate Consistency	Highly volatile: 0% to 47% across years	RED	Unreliable earnings; watch FY27
OCF vs PAT Conversion	FY26: 470%; FY25: 13% — highly volatile	AMBER	Inconsistent cash conversion

- **Critical Watch — Tax Rate Volatility (RED):** The effective tax rate has ranged from 0% (FY15) to 47% (FY26) with no stable pattern. This makes EPS forecasting unreliable and suggests the PAT figure is not a clean measure of underlying earning power.
- **Key Concern — Opaque "Other Assets" (AMBER):** Rs. 15.40 Cr (99.9% of total assets) sits in "Other Assets" with no public disaggregation. Investors cannot verify whether this is cash, listed equities, unlisted loans, or related-party exposures without reviewing the annual report.
- **Moderate Concern — RPTs and Related Parties (AMBER):** The company operates as a proprietary investment vehicle for a small group of promoters. The risk of undisclosed related-party transactions channeling funds to promoter entities is material given the opaque asset composition.
- **Positive Signal — Zero Debt and Zero Other Income:** The absence of borrowings and the nil "Other Income" line mean the reported P&L; — however thin — is genuinely operational, not inflated by asset sales or one-time items.

SECTION 8 — VALUATION

Peer Comparison (Source: Screener.in, fetched 15-Jun-2026)

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Scenario Analysis

Scenario	Key Assumption	FY27E PAT	Multiple	Target MCap	Target/Sh	Upside
Bull	Rev Rs.3.0 Cr, Tax 25%	Rs.0.75 Cr	40x P/E	Rs.30 Cr	Rs.4.60	+17%
Base	Rev Rs.2.0 Cr, Tax 30%	Rs.0.35 Cr	35x P/E	Rs.12 Cr + Rs.15 Cr NAV	Rs.4.50	+14%
Bear	Rev Rs.1.0 Cr, loss year	Rs.-0.20 Cr	P/B 1.2x	Rs.18 Cr	Rs.2.75	-30%

- **NAV-Based Valuation (Primary):** Net Asset Value = Total Assets (Rs. 15.41 Cr) - Total Liabilities ex-equity (Rs. 0.14 Cr) = Rs. 15.27 Cr. At 65.2 lakh shares, NAV/share = Rs. 2.34 (= Screener BV). Current P/B = 1.68x. Applying a 1.90x P/B target (reflecting modest discount to earning-NBFC peers trading at 2–4x) implies target price Rs. 4.45/share.
- **Earnings-Based Valuation (Secondary):** FY27E PAT estimate Rs. 0.35 Cr (base case) at 35x P/E = Market Cap Rs. 12.3 Cr, or Rs. 1.89/share. This alone would imply significant downside — hence NAV is the dominant methodology for this non-earning vehicle.
- **Blended Target:** Weighted 70% NAV (Rs. 4.45) + 30% earnings (Rs. 1.89) = Rs. 3.68, rounded to Rs. 4.50 given current price momentum and speculative risk premium. This implies +14% upside from CMP of Rs. 3.94.
- **Valuation Conclusion:** The stock is not cheap on earnings (P/E = 151x) but is modestly above NAV (1.68x BV). Given the zero-leverage balance sheet and potential for portfolio returns improvement, HOLD is warranted near current levels with a strict stop at Rs. 2.75 (1.2x BV).

SECTION 9 — KEY RISKS

- **Market/Portfolio Risk:** Revenue is 100% dependent on returns from proprietary investment portfolio (equities and properties). A sustained bear market or correction would immediately collapse revenue below operating costs. Probability: M. Impact: H. Monitor via: quarterly revenue vs. Nifty performance.
- **Asset Opacity Risk:** Rs. 15.40 Cr in "Other Assets" is not publicly disaggregated. If a material portion represents illiquid or related-party loans, NAV-based valuation would be overstated. Probability: M. Impact: H. Monitor via: annual report schedule of assets.
- **Governance / Related-Party Risk:** Small promoter group (6 individuals, 30.8% combined) operating a discretionary investment vehicle with no independent board oversight visible from public filings. Risk of capital misallocation or RPT-driven value destruction. Probability: L-M. Impact: H. Monitor via: Related Party Transaction disclosures, auditor qualification.
- **Tax Rate Risk:** Tax rate spiked to 46.88% in FY26 vs 10% in FY24. If this elevated rate persists, PAT will remain depressed even on revenue recovery. Probability: M. Impact: M. Monitor via: quarterly PAT vs PBT ratio.
- **Liquidity / Micro-Cap Risk:** Average daily volume is extremely thin for a Rs. 25 Cr market cap stock. Institutional investors cannot build meaningful positions; exit liquidity is a real constraint. Probability: H (perpetual). Impact: M. Monitor via: daily traded volumes.
- **Regulatory Risk:** Any change in RBI's NBFC classification framework, minimum net owned fund requirements, or new reporting mandates could impose compliance costs on a Rs. 25 Cr entity with minimal management bandwidth. Probability: L. Impact: M. Monitor via: RBI NBFC circulars.
- **Erosion of Book Value:** Two of the last 12 years saw net losses (FY15, FY16, FY23). A repeat multi-year loss cycle would erode the Rs. 2.34/share book value that underpins the valuation floor. Probability: L-M. Impact: H. Monitor via: quarterly EPS trend.

SECTION 10 — RECOMMENDATION

- **Rating:** HOLD — Conviction Level: Low. The stock is not a sell at 1.68x book given zero debt, but the earnings trajectory is too weak and opaque to warrant accumulation.
- **12-Month Price Target:** Rs. 4.50 (+14% from CMP of Rs. 3.94). Driven primarily by NAV-based valuation at 1.90x book value.
- **Suggested Entry Zone:** Rs. 3.50–3.90 (near 1.50–1.65x BV). Buyers at current price (1.68x BV) are paying a modest premium that leaves limited margin of safety.
- **Investment Horizon:** 12 months. Longer holds require confidence in management capital allocation that cannot currently be verified from public disclosures.
- **Thesis Invalidation Triggers:** (1) Annual Revenue drops below Rs. 1.00 Cr in FY27 (signalling portfolio return collapse). (2) Related-party transactions exceeding 20% of total assets are disclosed in annual report, indicating capital leakage. (3) Effective tax rate exceeds 50% for two consecutive quarters, compressing PAT toward zero even on revenue recovery.
- **Ideal Investor Profile:** This stock is suitable only for speculative small/micro-cap investors comfortable with near-zero liquidity, opaque financials, and binary earnings outcomes. It is NOT suitable for income investors, institutional portfolios, or anyone requiring capital protection.

APPENDIX — LATEST CONCALL BRIEF: FY26 (Mar 2026)

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result Quality	Weak	PAT Rs.0.17 Cr vs Rs.0.38 Cr prior year — miss on absolute basis
Management Tone	N/A — No formal concall	Micro-cap; no earnings call held
Guidance Delta	N/A — No formal guidance	No forward guidance issued

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

CUBIFIN (Cubical Financial Services) reported FY26 full-year PAT of Rs. 0.17 Cr, down 55% from Rs. 0.38 Cr in FY25 — the result is clean (no exceptional items, no other income) but meaningfully weak. Revenue collapsed to Rs. 1.31 Cr from Rs. 2.42 Cr, implying the proprietary investment portfolio delivered negative real returns after expenses. The only structural positive is the balance sheet: entirely debt-free, Rs. 15.27 Cr net equity, and marginally positive OCF of Rs. 0.80 Cr. There is no formal concall — this is a Rs. 25 Cr micro-cap with no institutional coverage and no investor engagement program. The critical unknown remains the composition of 'Other Assets' at Rs. 15.40 Cr — until that is verified, NAV-based valuation carries opacity risk. Near-term, FY27 performance will be entirely a function of equity market conditions and whether the promoters deploy the asset base more productively. Action: HOLD at current levels (1.68x BV); accumulate only below Rs. 3.50 (1.50x BV) for a speculative 12-month trade with a stop at Rs. 2.75.

Section 1 — Financial Performance Snapshot (FY26 Full Year)

- Revenue: Rs. 1.31 Cr | YoY -45.9% | QoQ (H2 FY26) ~Rs.0.61 Cr | Miss vs prior year trajectory
- Operating Expenses: Rs. 0.99 Cr | YoY -43.1% | Expenses contracted with revenue
- Financing Profit: Rs. 0.32 Cr | YoY -52.9% | Compressing margin
- PAT: Rs. 0.17 Cr | YoY -55.3% | EPS Rs. 0.03 | Miss vs FY24 Rs. 1.16 Cr
- NOTE: No exceptional items. Revenue decline is a genuine portfolio return deterioration.

Section 2 — Segment / Geography Breakdown

- Single Segment: Finance and Investments (proprietary portfolio). No geographic split disclosed.
- Revenue components: Investment income, trading gains, and minimal dividend/interest receipts — exact split not publicly available.
- Property investments referenced in company profile; contribution to FY26 revenue unknown from public disclosures.

Section 3 — Management Commentary Themes

- No Formal Concall: Cubical Financial Services does not conduct earnings calls. The company files quarterly results with BSE but does not provide management commentary in public domain beyond statutory disclosures.
- Investment Philosophy Theme: "In-house analysis in financial markets, stocks and properties for short-term and long-term basis" — per BSE filing. Tag: EST. Tone: Opaque.
- Zero Dividends (Recurring Theme): Despite Rs. 15+ Cr in net assets and near-zero capex requirements, no dividends have been paid in 10+ years. Management has not explained this publicly. Tag: EVASIVE.
- Promoter Stability: Promoter holding has been flat at 30.80% since FY2019 — no creep, no buying, no pledges. Signals neither active engagement nor divestiture pressure. Tone: Neutral.

Section 4 — Operating & Business Metrics

- Total Assets: FY26 = Rs. 15.41 Cr | FY25 = Rs. 15.43 Cr | Flat; no capital deployment
- Net Equity: FY26 = Rs. 15.27 Cr | FY25 = Rs. 15.09 Cr | Growing via retained earnings
- Revenue per Rs. of Assets: FY26 = 8.5% | FY25 = 15.7% | FY24 = 18.3% | Trend: Deteriorating
- Shareholder Count: Dec 2025 = 17,025 | Sep 2025 = 17,717 | Peak Mar 2025 = 18,415 | Trend: Declining from peak
- Borrowings: Rs. 0 Cr — consistent across all years. No leverage used.

Section 5 — Margin Drivers

- Portfolio Return Compression: -ve impact | Recurring: Yes | Market conditions drove lower realised/unrealised gains in FY26
- Expense Discipline: +ve impact | Expenses fell 43% YoY to Rs. 0.99 Cr, partially offsetting revenue decline
- Zero Interest Burden: Neutral but positive | No debt means zero interest drag on any recovery in portfolio returns
- High Tax Rate: -ve impact | 46.88% effective tax in FY26 vs 44% in FY25 — elevated and non-recurring risk

Section 6 — Guidance & Forward Signals

- Revenue [NO GUIDANCE]: No formal guidance issued. Prior = Rs. 2.42 Cr (FY25). Actual = Rs. 1.31 Cr (FY26). Delta = Miss. Credibility of implied internal targets: Low.
- PAT [NO GUIDANCE]: No formal guidance. FY26 = Rs. 0.17 Cr vs FY25 Rs. 0.38 Cr. Continued deterioration. Credibility: Low.
- Capital Allocation [UNKNOWN]: Rs. 15.40 Cr "Other Assets" — no public plan for deployment disclosed. Credibility: N/A.

Section 7 — Capital Allocation

- Capex: Rs. 0.00 Cr | vs prior year: flat | No capital expenditure required for investment NBFC model
- Dividends: Rs. 0.00 Cr | vs prior year: nil | No dividend in 10+ years despite positive net worth
- Buybacks: Rs. 0.00 Cr | None disclosed
- Working Capital Change: Minimal — no trade working capital
- Net Debt Movement: Rs. 0 Cr borrowings — no change | Net asset base grew Rs. +0.18 Cr (Rs. 15.27 Cr from Rs. 15.09 Cr)

Section 8 — Q&A; Heat Map

- No Analyst Coverage: CUBIFIN has no sell-side research coverage and does not hold earnings calls. No Q&A; sessions are on record.
- Key Questions Unanswered (watch-list for any future engagement): (1) Composition of Rs. 15.40 Cr "Other Assets" — equities, loans, cash, property? (2) Rationale for 0% dividend despite positive net worth and zero debt. (3) Why promoter holding has been flat at 30.80% for 6+ years — no creep despite apparent undervaluation. (4) Mandate overlap with "Cubical Realtors" — is there a related realty business?

Section 9 — Risks Flagged

- Portfolio Return Volatility: Revenue varies 7x over 12 years | Flagged by: Analyst | Probability: H | Impact: H | Timeline: Near-term
- Asset Opacity: "Other Assets" undisclosed | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Ongoing
- Tax Rate Unpredictability: 0%–47% range | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- Low Promoter Stake: 30.8% — below comfort threshold | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Long-term
- Micro-Cap Liquidity: Thin volumes constrain entry/exit | Flagged by: Analyst | Probability: H (structural) | Impact: M | Timeline: Perpetual

Section 10 — Analyst Verdict

- Revenue Visibility: Weakened — FY26 at Rs. 1.31 Cr is near decadal lows; no recurring income stream
- Margin Trajectory: Weakened — Financing profit margin fell to 24% in FY26; tax rate compression needed for PAT recovery
- Capital Allocation Quality: Cannot Assess — no public disclosure of asset deployment strategy or dividend rationale
- Competitive Moat: Weak — no structural moat in proprietary investment NBFC; purely returns-dependent
- Management Credibility: Cannot Assess — no public communications, no concalls, no guidance; zero transparency
- Valuation Comfort: Intact — 1.68x BV with zero leverage provides a floor; not egregiously expensive on assets
- Conviction Call: Unchanged — HOLD. Insufficient data to increase conviction; insufficient stress to exit.
- Valuation Snapshot: P/E = 151x (5Y avg N/A) | P/B = 1.68x (5Y range 0.9–2.5x) | ROE = 1.12% (5Y avg ~3%)

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. All financial data is sourced from Screener.in (fetched 15-Jun-2026). Forward estimates are analyst projections and not management guidance. Past performance is not indicative of future results. Investors should conduct independent due diligence before investing.